



UNIT 2

REGULATION OF TRADE UNIONS

Presented by
Dr. Nikita Begum Talukdar

CONTENTS

- 1. Concept and history of trade unions**
- 2. Registration: criteria, application, rules, cancellation and appeal**
- 3. Rights and immunities of registered trade unions**
- 4. Duties and liabilities**
- 5. Unfair Labour Practices — Second Schedule**

TRADE UNION — SECTION 2(zl), IR CODE 2020

- Any temporary or permanent combination formed primarily to regulate relations between workmen and employers, workers and workers, or employers and employers, or to impose restrictive conditions on trade/business.
- Includes a federation of two or more Trade Unions.
- **Core characteristics:** voluntary association, collective action, common industrial interests and representation of members.
- Chapter III does not disturb specified agreements concerning partners, employment, sale of goodwill, or instruction in a profession/trade/handicraft.

HISTORY OF TRADE UNIONISM IN INDIA

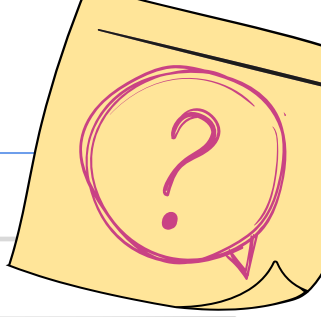
- 1890: early mill-worker association associated with N.M. Lokhande — an important precursor, but not yet a modern statutory trade union.
- 1918: Madras Labour Union associated with B.P. Wadia — generally treated as India's first organised trade union.
- 1920: All India Trade Union Congress (AITUC) formed — first major central/national federation.
- 1926: Trade Unions Act created the statutory framework for registration and immunities.
- Industrial Relations Code, 2020 consolidates the trade-union framework and replaces the earlier Trade Unions Act framework upon commencement.

OBJECTIVES OF TRADE UNION LAW

- Legal recognition and registration of unions.
- Internal governance: rules, membership, elections, accounts and audit.
- Limited civil and criminal immunities for qualifying collective activity.
- Financial accountability and annual returns.
- Registration, cancellation and appellate mechanisms.
- Regulation of unfair labour practices by employers, workers and trade unions.

CHAPTER III of IR CODE

Registration of Trade Unions



Section 5 of IR Code
Appointment of Registrars

Section 6.
Criteria of registration

Section 7
Provisions to be contained in the
rules of a Trade Union

Section 8.
Application For registration, alteration of
name and procedure thereof

Section 9.
Registration and Cancellation

Section 10.
Appeal against non-registration or
Cancellation of registration.

- **CRITERIA**

- Any 7 or more members may apply by subscribing their names to the union rules and complying with the Code.
- For a workers' union, at least 10% of workers OR 100 workers, whichever is less, must be members on the date of application.
- After registration, the union must continue to maintain the prescribed minimum membership.

REGISTRATION — NUMERICAL EXAMPLES

60 workers $\rightarrow 10\% = 6$, but minimum of 7 applies $\rightarrow 7$ members.

500 workers $\rightarrow 10\% = 50 \rightarrow 50$ members.

1,600 workers $\rightarrow 10\% = 160$, but 100 is lower $\rightarrow 100$ members.

Formula: 10% OR 100, whichever is LESS, subject to the minimum of
7

APPLICATION, NAME & REGISTRAR — SECTIONS 8–9 IR Code 2020

- Application is made to the Registrar **electronically or otherwise**, with prescribed particulars and rules.
- If the union has **existed for more than one year**, a statement of assets and liabilities must accompany the application.
- Registrar may call for further information before registration.
- A **proposed name cannot be identical or deceptively similar** to an existing registered union.
- **Registration certificate is conclusive evidence of registration** under the Code.
- **Case: Indian Steam Navigation Workers' Union v. Registrar of Trade Unions — Registrar must examine statutory compliance and the union's objects; the power cannot be used for an extraneous inquiry.**

RULES OF A TRADE UNION — SECTION 7

- ✓ Constitution of the executive and management of union affairs.
- ✓ Name, objects and lawful purposes of general funds.
- ✓ Membership register and admission of ordinary members.
- ✓ Conditions for benefits, fines/forfeitures and amendment of rules.
- ✓ Annual general meeting, elections, removal of office-bearers and casual vacancies.
- ✓ Safe custody of funds, annual audit and inspection of account books.
- ✓ Manner of dissolution.

MEMBERSHIP — TWO LEADING CASES

Case: M.T. Chandersen v. N. Sukumaran, Civil Appeal No. 242 of 1973, decided 14 Sept 1973.

Held: a person who has not paid subscriptions required by the union bye-laws cannot be treated as a member; however, subscription cannot be refused arbitrarily so as to deny membership.

Case: Bokajan Cement Corporation Employees' Union v. Cement Corporation of India Ltd., (2004) 1 SCC 142; AIR 2004 SC 245.

Held: cessation of employment does not automatically terminate union membership where neither the statute nor the union constitution provides for automatic cessation.

WHO QUALIFIES AS A TRADE UNION?

Case: I.A. Saiyed v. State of Maharashtra, Bombay High Court, W.P. No. 2687 of 2006, decided 11 Aug 2017.

Question: could the Federation of Labour Law Practitioners be registered as a Trade Union under S.2(h) of the Trade Unions Act, 1926?

Held: the federation did not qualify as a Trade Union under the statutory definition.

Principle: before applying registration provisions, the body itself must satisfy the statutory definition (as Trade Union).

Case: Madhya Pradesh Shramjeevi Patrakar Sangh v. State of Madhya Pradesh (2024).

Dispute concerned approval of a proposed union name alleged to be deceptively similar to an existing union's name.

Madhya Pradesh High Court held that the Registrar had not properly considered the similarity objection and directed reconsideration.

Principle: assess similarities likely to deceive/confuse the public or members, not merely differences in spelling or wording.

Case: P. Ellan v. State of Tamil Nadu & Others (Madras High Court, 2024 proceedings).

- Employees at Samsung India Electronics' Sriperumbudur plant formed 'Samsung India Thozhilalar Sangam'.
- Registration was delayed after an objection to the use of 'Samsung' in the union name.
- The High Court directed the Registrar to process the application and pass final orders within six weeks.

CANCELLATION & APPEAL — SECTIONS 9–10 IR Code 2020

- Cancellation/withdrawal may arise on the union's application, contravention of the Code/rules/constitution, or failure to maintain the statutory membership threshold.
- Registrar must comply with statutory notice and reasons requirements before cancellation.
- Section 10 provides an appeal against refusal of registration or cancellation to the Tribunal.
- Tribunal may dismiss the appeal, direct registration and issue of certificate, or set aside withdrawal/cancellation.
- **Case: Mukund Iron & Steel Works Ltd. v. V.G. Deshpande, Registrar of Trade Unions, Bombay (1986) — source PPT states that the Registrar cannot simply review and withdraw his cancellation order; statutory appeal/fresh registration remedies apply.**

S. 9 (cl. 5 – 7) Withdrawal or Cancellation of Registration



Application

By Trade Union

**Contravention
of provisions of
code**

On
information
received by
Registrar

**Membership
falls below
10% or 100**

If the
Registrar
satisfied.

**When ordered
by Tribunal**

Certificate to be
cancelled by
Registrar on
receiving such
order



Process of cancellation:

Provided that not less than sixty days previous notice in writing by Registrar

- specifying the grounds**
- before cancellation such notice to be given.**

While cancelling the certificate of registration of a Trade Union, the:

- Registrar shall record the reasons for doing so and**
- communicate the same in writing to the Trade Union concerned.**

RIGHTS and IMMUNITIES OF REGISTERED TRADE UNIONS- IR Code 2020

**Rights granted as a
legal person
(S. 12 IR CODE
2020)**

**To Manage Funds
(S. 15 IR CODE)**

**Protection against
Civil Proceedings
(S.16)**

**Protection against
Criminal Proceedings
(S.17)**

**Privilege to make
agreements in restraint
of Trade (s. 18)**



REGISTERED UNION AS A BODY CORPORATE — S.12

- Separate legal identity under its registered name.
- Perpetual succession and common seal.
- Can acquire and hold movable and immovable property.
- Can contract.
- Can sue and be sued in its registered name.

GENERAL & POLITICAL FUNDS — S.15

- General funds must be applied only to lawful/statutorily permitted purposes and the union rules.
- Permitted objects include administration, conduct of trade disputes, lawful legal proceedings and welfare-related purposes.
- A separate political fund may be created from separately levied contributions.
- Members cannot be compelled to contribute to the political fund.
- General and political funds must be kept distinct.

CIVIL IMMUNITY — SECTION 16

- Protection applies to specified **civil proceedings concerning acts done in contemplation or furtherance of an industrial dispute.**
- Examples: an act alleged merely to induce breach of an employment contract or interfere with another person's trade, business or employment.
- Immunity is NOT blanket protection for violence, intimidation, trespass, wrongful restraint or other independent unlawful/tortious acts.

ROHTAS INDUSTRIES STAFF UNION v. STATE OF BIHAR

Precise citation: AIR 1963 Pat 170; Patna High Court; decided 2 May 1962.

Facts: strike began on 3 Sept 1957 over non-payment of bonus and non-implementation of an award; it was called off after an agreement referring disputes to arbitration.

Arbitrators awarded compensation against workers for losses attributed to the strike.

Issue: whether such employer compensation was within the arbitration/industrial-dispute framework and whether workers retained statutory immunity for illegal strike?

Held: the compensation award was quashed as ultra vires. The court held the employer's loss claim did not fall within the statutory 'industrial dispute' framework on its analysis, **and the illegality of the strike did not by itself remove S.18 Trade Unions Act immunity.**

LIMITS OF CIVIL IMMUNITY — CASE LAW

- **Kameshwar Prasad v. State of Bihar (1962 SC):** certain peaceful demonstrations fall within constitutional freedoms; the case concerned government servants and should not be treated as a blanket constitutional right to strike.
- **Vidya Sagar Institute of Mental Health & Neuro Sciences v. Vidya Sagar Hospital Employees Union, 124 (2005) DLT 640:** peaceful demonstration may be protected, but obstruction of ingress/egress, intimidation and disruption of hospital functioning are not protected.
- **Jay Engineering Works Ltd. v. State of West Bengal, AIR 1968 Cal 407:** gherao involving physical encirclement/confinement was treated as unlawful conduct outside trade-union immunity.

CRIMINAL IMMUNITY — SECTION 17

- An agreement among union members to further lawful objects covered by S.15 does not merely become criminal conspiracy because it is collective.
- Blanket exception: an agreement to commit an offence is not protected.
- Wrongful restraint/confinement, violence, intimidation and other offences remain outside the immunity.
- Exam distinction: S.16 = civil proceedings; S.17 = criminal conspiracy.

RESTRAINT OF TRADE — SECTION 18

- An agreement between members of a registered Trade Union is not void/voidable merely because an object is in restraint of trade.
- Example: members collectively agree not to accept employment on specified low-wage terms until a collective demand is addressed.
- Proviso: the section does not permit civil proceedings to enforce or recover damages for breach of an agreement concerning the conditions on which members take employment.
- Purpose: facilitate collective bargaining, not create a civil damages remedy between members.

OTHER RIGHTS & DUTIES

- **s.19:** members/office-bearers may inspect union books of account and membership list at the times provided by the rules.
- **S.20:** a person aged 14+ employed in a non-hazardous industry may be a member, subject to union rules.
- Registered unions must maintain records, comply with their constitution/rules and file prescribed annual returns.
- Changes in name, head office, amalgamation and dissolution trigger prescribed notice/filing obligations.

UNFAIR LABOUR PRACTICES — SECOND SCHEDULE

- **S.2(z0):** ULP means practices specified in the **Second Schedule**.
- **Employer-side examples:** interference/coercion in union activity; threats for union membership; employer-sponsored unions; victimisation; refusal to bargain in good faith; prolonged temporary employment designed to deny permanent status.
- **Worker/union-side examples:** supporting/instigating illegal strikes; coercing workers on union membership; force/violence/intimidation; recognised union refusing to bargain in good faith; specified go-slow, squatting and gherao conduct.

PENALTY FOR UNFAIR LABOUR PRACTICE — S.86(5) & (6)

- **S.86(5):** fine not less than ₹10,000 and up to ₹2 lakh for an unfair labour practice specified in the Second Schedule.
- **S.86(6):** for a second/subsequent offence after conviction, fine of ₹50,000 to ₹5 lakh, or imprisonment up to three months, or both, as provided.

Case: Shankar Bhimrao Kadam & Ors. v. Tata Motors Ltd., Bombay High Court, W.P. No. 5588 of 2017 & connected matters, decided 26 Feb 2022.

- 52 temporary workers challenged repeated short-term engagements/terminations.
- The record showed workers were repeatedly kept below the 240-day threshold; the court found a systematic pattern designed to prevent acquisition of permanent status.
- Held: the conduct amounted to an unfair labour practice; compensation was directed.
- Use with the Schedule II prohibition on continuing badli/casual/temporary workers for years with the object of depriving them of permanent status.

THANK YOU

